

slide that ended in August. By contrast, the stock peaked in March 2002 and continued lower. Even as natural gas prices were making new highs, the stock was tumbling—“diverging” as we call it. However, both the stock and natural gas bottomed within a few weeks of each other, with the stock leading the way higher.

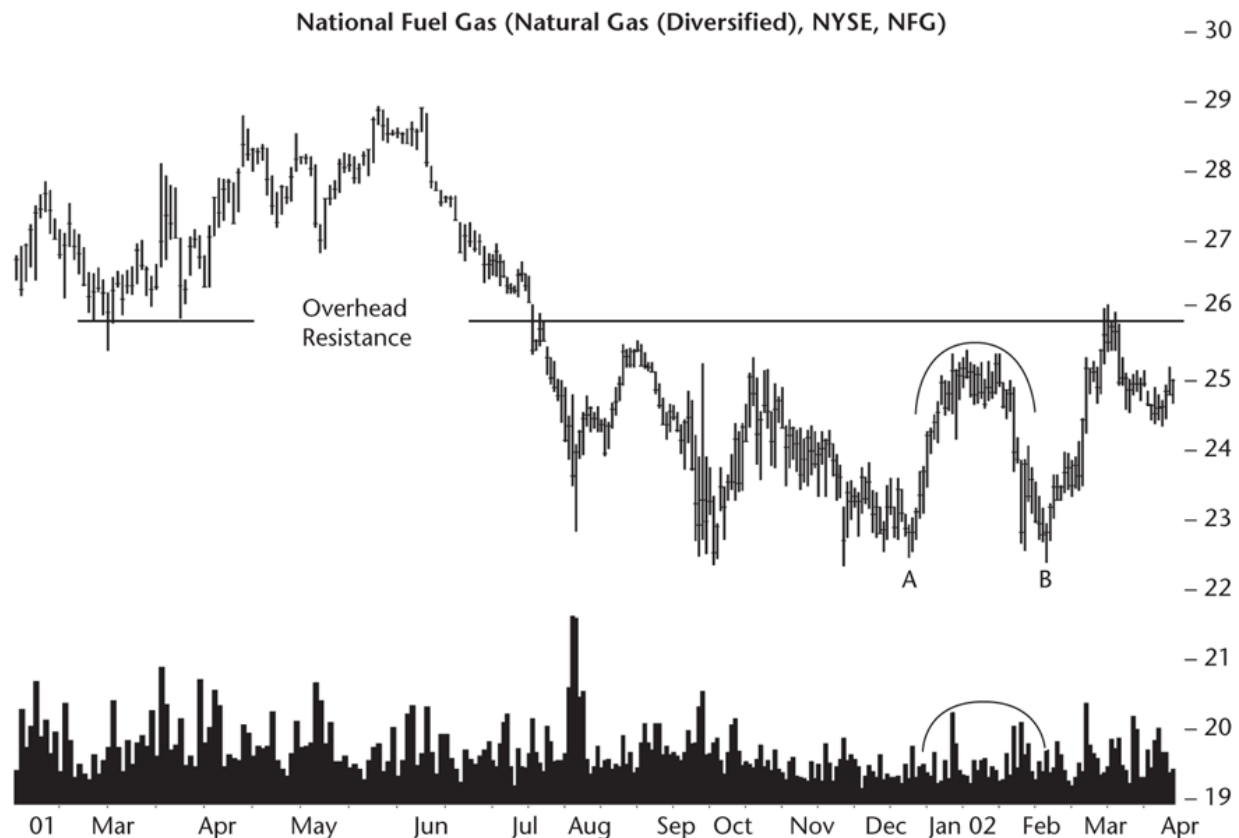


Figure 56.3 Overhead resistance blocks this rounding turn's upward breakout.

Technical factors also influence price movement and contribute to pattern failure. For example, if you know that Joe Trader is buying and his record is the envy of the industry, you may want to buy, too. This herd instinct is what momentum is all about. Another example: Mutual funds may spread their trades over several days to try to keep their elephant-like movements secret. If you learn of a mutual fund selling a large block of shares of a stock you own, you may wonder, what do they know that I don't? You may decide to dump your holdings too. This selling pressure contributes to downward momentum.